STANDARD OPERATING PROCEDURE ON MATERIAL MANAGEMENT

1. Purpose

The purpose of this SOP is to outline the procedure for managing materials efficiently, ensuring their timely procurement, storage, usage, and inventory control, in order to support smooth operational processes and reduce wastage.

2. Scope

This SOP applies to all departments involved in material handling, procurement, storage, and inventory control within the organization.

3. Responsibilities

- **Procurement Department:** Responsible for material purchasing based on requirements.
- **Store Department:** Responsible for receiving, storing, and issuing materials.
- **Department Heads:** Responsible for ensuring proper usage and avoiding wastage of materials.
- **Inventory Control Officer:** Responsible for maintaining an accurate inventory of materials.

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4. Definitions

- **Material:** Any raw material, component, or item used in production or service processes.
- **Inventory:** The total stock of materials stored in a warehouse or storeroom.
- **Requisition:** A formal request for materials made by a department.

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5. Procedure

5.1 Procurement Process

1. **Material Requisition:**
   - Department heads submit material requisition forms specifying material type, quantity, and urgency.
2. **Purchase Order Creation:**
   - Based on requisitions, the procurement department raises a purchase order (PO) with approved suppliers.
3. **Supplier Selection:**
   - Select suppliers based on cost-effectiveness, quality, and delivery timelines.
4. **PO Approval:**

- The PO must be approved by an authorized manager before being issued to the supplier.

5. **Material Receipt:**
   - The store department receives materials and checks them against the PO for quantity, quality, and condition.

5.2 Material Receiving and Inspection

1. **Receiving Inspection:**
   - Materials are inspected for defects or inconsistencies by the storekeeper and quality control personnel.
2. **Material Acceptance:**
   - Accepted materials are recorded in the inventory management system, and a Goods Receipt Note (GRN) is generated.
3. **Non-conforming Materials:**
   - Any damaged or non-conforming materials are reported and returned to the supplier with proper documentation.

5.3 Material Storage

1. **Storage Conditions:**
   - Materials are stored in appropriate storage conditions (e.g., temperature-controlled environments for perishables, humidity control for sensitive items).
2. **Labeling and Categorization:**
   - All materials must be labeled clearly with part numbers, batch numbers, and expiration dates (if applicable).
3. **Stock Rotation (FIFO/FEFO):**
   - Follow First-In-First-Out (FIFO) or First-Expired-First-Out (FEFO) systems to minimize wastage due to expiration.

5.4 Material Issuance

1. **Material Requisition for Usage:**
   - Departments submit material issuance requests to the store department.
2. **Issuance Record:**
   - Materials are issued based on requisition, and records are updated in the inventory system, including the quantity and date.
3. **Authorization:**
   - The material request must be approved by the department head or supervisor before issuance.

5.5 Inventory Control

1. **Stock Level Monitoring:**
   - Regularly monitor stock levels to avoid overstocking or stockouts. Maintain minimum and maximum stock levels.
2. **Stock Reconciliation:**

- Conduct periodic physical stock verification and reconcile discrepancies between physical and system stock.

3. **Inventory Reports:**
   - Generate monthly inventory reports detailing stock movement, stock on hand, and stock discrepancies.

5.6 Material Disposal

1. **Identification of Obsolete or Expired Materials:**
   - Review stock regularly to identify obsolete, damaged, or expired materials.
2. **Disposal Authorization:**
   - Obtain authorization from management for disposal of such materials.
3. **Disposal Procedure:**
   - Dispose of materials following environmental and safety guidelines, with proper documentation.

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6. Documentation and Record Keeping

1. **Material Requisition Form:** For requesting materials from the store.
2. **Purchase Order:** For ordering materials from suppliers.
3. **Goods Receipt Note (GRN):** For confirming receipt of materials.
4. **Material Issuance Record:** For tracking materials issued from the store.
5. **Inventory Report:** For periodic stock level and reconciliation.

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7. Safety Considerations

1. Ensure safe handling of materials, especially hazardous materials, following Material Safety Data Sheets (MSDS) and safety regulations.
2. Provide proper training to staff involved in material handling.

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